

one year and at the end of twelve months repaid \$110, you had an APR of 10 percent.

But suppose you borrowed \$100 and made monthly payments of \$9.17. At the end of one year you would have repaid \$110, but the Annualized Percentage Rate would have been higher. Why? Because you didn't actually have use of the entire \$100 for the whole year. The APR rate was closer to 12 percent.

Additionally, the Truth in Lending Act requires that all finance charges be shown clearly before you sign an installment contract. Many times service fees, discount points, and insurance fees can substantially increase the cost of a loan.

A lender who fails to reveal all the costs risks penalties and forfeiture of all accumulated interest. If you believe you have been the victim of unfair lending, you need to contact the attorney general's office of your state.

In the final analysis, the best protection you can have against the misuse of credit is to determine that you will control the use of credit and refuse to allow it to control you. As stated earlier, there is no substitute for personal discipline and self-control in the area of credit.

By now I trust that you understand that the misuse of credit—not credit itself—is the problem. The Bible does not teach that you can never borrow; it teaches that borrowing is hazardous if done unwisely. Every Christian should have a goal to be debt-free eventually. If you can't be debt-free right now, set a goal and work toward it.